

Micron Technology, Inc.

MU NASDAQ

Buy

\$880.38 ▲ 6.13%

12M Price Target
\$1050.00

52-Week Range
\$106.75 – \$1255.00

Market Cap
N/A

MU: Memory Cycle Meets CHIPS Act Tailwind, BofA Doubles Down

WHAT HAPPENED

- MU ripped +6% overnight after BofA called it an "enhanced buying opportunity" — the setup here is that memory stocks got hammered earlier this week on China competition fears (that Yahoo headline from Aug 3), and now the dip-buyers are showing up hard. Options flow is screaming bullish — someone bought 10,000+ calls at the \$900 strike expiring in August, which is a leveraged bet the stock keeps running this month.
- The Samsung/SK Hynix headline actually matters — Micron is **narrowing the gap** in high-bandwidth memory (HBM), the specialized chips that go into Nvidia's AI GPUs. That's the highest-margin product in memory right now and the entire bull case rests on MU taking share here.

WHY IT MATTERS

Here's what to think about: this isn't just a bounce — it's the market re-pricing the China competition fear as overblown. The reality is US export controls on advanced memory to China (which the Biden-then-Trump admins have kept tightening) actually **protect** Micron's HBM franchise because Chinese memory makers like CXMT are locked out of the leading-edge equipment they'd need to compete. So the "China threat" narrative that dinged the stock this week is partly backwards — policy is a moat, not a threat. The bigger tell is that 81% institutional ownership plus unusual call buying at strikes ABOVE the current price means smart money thinks \$900+ is a floor, not a ceiling, into earnings season.

POLICY & POLITICAL WATCH

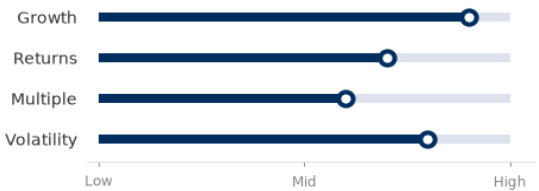
The CHIPS Act money is still flowing — Micron secured ~\$6.1B in direct federal grants for its Idaho and New York fabs, and the disbursement schedule ties to construction milestones happening RIGHT NOW. Watch the Commerce Department's next tranche announcements. Separately, the Trump administration's tariff regime on Chinese semis (currently threatening 25-50% on various chip categories) is a net positive for MU because it's one of only three DRAM makers globally and the only US-based one — meaning hyperscalers like Microsoft, Amazon, and Meta have strategic reasons to buy American. If Congress advances the pending "Secure American Semiconductors Act" that mandates federal AI infrastructure use US-made memory, that's a direct catalyst.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$880.38
12M Price Target	\$1050.00
Upside / (Downside)	+19.3%
Market Cap	N/A
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$58,200M
FY2026E EPS	\$12.80
FY2027E EPS	\$16.50
Fwd P/E	68.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$980.00	\$920.00	\$780.00
6 Months	\$1150.00	\$1000.00	\$720.00
1 Year	\$1300.00	\$1050.00	\$650.00
2 Years	\$1600.00	\$1200.00	\$600.00
5 Years	\$2200.00	\$1500.00	\$500.00
10 Years	\$3000.00	\$1800.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semis broadly (+3.6% today, +7.8% on the week) — the AI capex narrative is back after the Palantir beat reminded everyone that enterprise AI spending is real. CHIPS Act beneficiaries specifically are catching a bid.

COOLING OFF: Materials and Comm Services — money is rotating OUT of defensive-ish stuff and INTO growth/AI names on renewed risk appetite.

ROTATION WATCH: Classic risk-on rotation — Tech +3.6% while Cons Disc is red tells you money is going into secular AI winners, not just "everything up." That's a healthier setup for MU than a broad melt-up.

RELATED PLAY: If you like MU, look at the memory equipment makers (LRCX, AMAT) — they sell the tools MU uses to build new fabs, and the CHIPS Act construction boom flows straight to their order books.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI capex bellwether — MU sells HBM directly INTO Nvidia GPUs, so NVDA strength is a leading indicator for MU
- SNDK (Sandisk): Also up premarket on the same memory-sector re-rating, but MU is the better quality play with the HBM exposure

MU CONTEXT: MU is leading the memory group today, which tells you the BofA call is doing real work and this isn't just beta to the semi sector. When a stock outperforms its group on a broad up day, it usually means fresh money is rotating IN specifically, not just riding a wave.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — The AI memory thesis is intact, policy is a tailwind not a headwind, and the smart money options flow is telling you to stay long into August.

POSITION SIZE: 4-6% of portfolio — real conviction but memory cycles are violent, so don't go crazy.

ENTRY POINTS: Chasing at \$880 is fine for a starter position, but I'd want to add on any pullback to \$820-850 (which is the pre-BofA base). Macro fear days = your friend.

TIME HORIZON: 12-24 months — the catalyst is HBM4 ramp in 2H26 and continued hyperscaler capex commitments through 2027.

WHEN TO BAIL: If DRAM spot prices drop >15% in a quarter, or if a major hyperscaler publicly cuts AI capex guidance, or MU loses HBM qualification at Nvidia — any of those and you're out.

HEDGING: Simplest hedge is buying a put option (basically insurance that pays off if the stock drops) on the semiconductor ETF SOXX — that protects against a broad sector selloff without giving up your MU-specific upside.